

APAR INDUSTRIES LTD.

NSE: APARINDS | BSE: 532259 | Sector: Capital Goods — Electrical Equipment

World's #1 Conductor Maker — Wired for a Multi-Year T&D; and Data Center Supercycle

ACCUMULATE 12M Target: Rs. 17,500 CMP: Rs. 15,986 (15-Jun-2026) Upside: +9.5% Horizon: 12-18 months	Market Cap	Rs. 64,223 Cr
	52W High / Low	Rs. 16,190 / 6,800
	Stock P/E (TTM)	64.2x
	Forward P/E	63.4x
	EV / EBITDA	33.2x
	Enterprise Value	Rs. 64,446 Cr
	Book Value / Share	Rs. 1,343
	P / Book	11.9x
	ROCE / ROE	31.1% / 20.2%
	Dividend Yield	0.32%
	Promoter Holding	57.77% (0% pledged)
	Debt / Equity	0.18x
	Face Value	Rs. 10

Key Financials (Consolidated, Rs. Cr) — Source: Screener.in | Estimates: Chartitude Research

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	16,153	18,581	22,902	27,000	31,320
Revenue Growth %	12.6%	15.0%	23.1%	17.9%	16.0%
EBITDA (Rs. Cr)	1,568	1,582	1,876	2,295	2,819
EBITDA Margin %	9.7%	8.5%	8.2%	8.5%	9.0%
PAT (Rs. Cr)	825	821	977	1,253	1,597
EPS (Rs.)	205.41	204.46	243.21	312 (E)	397 (E)
P/E (x)	77.8x	78.2x	65.7x	51.2x	40.3x
EV / EBITDA (x)	41.1x	40.7x	34.3x	28.0x	22.8x
ROCE %	44.0%	33.0%	31.1%	32.0% (E)	34.0% (E)

Report Date: 16 June 2026 | Analyst: Equity Research Desk | Chartitude Research

Note: FY27E and FY28E are Chartitude Research estimates. All financials consolidated unless stated. CMP as of 15-Jun-2026. Financial data sourced from Screener.in.

SECTION 2 — INVESTMENT THESIS

- **World-leading conductor franchise with a capacity super-cycle underway:** Apar is the world's largest manufacturer of conductors, with FY26 conductor order inflows of Rs. 11,450 Cr (+24.2% YoY) and a pending order book of Rs. 7,671 Cr. Conductor capacity is running at 90-95% utilisation, making the Rs. 400 Cr FY27 expansion capex a necessity. Premium/specialty conductor mix held steady at 45.9%, delivering structural pricing advantage over commodity players. Volume CAGR of ~11% is expected over FY25-28E.
- **US market as the next leg of growth — \$0.5 billion in 3 years:** Management is targeting US revenues of \$0.5 billion (~Rs. 4,800 Cr) over 3 years, up from Rs. 1,600 Cr in FY26 (+55.2% YoY). The board has approved an additional \$5M investment into APAR USA LLC. US grid modernisation spending and strong NTCIP-compliant conductor demand make this a credible, high-margin growth engine. A 3x increase in US revenues would be structurally transformative for blended margins.
- **Data center cables — a structural new TAM opening up:** Cables revenue grew 25.8% in FY26, with capacity at 85-90% utilisation. Management expects cables to account for ~2.5% of data center capex — a TAM that did not exist 3 years ago. With Rs. 850 Cr (57% of total FY27 capex) being directed at cable capacity, Apar is investing decisively into this opportunity.
- **Near-term catalyst (6-12 months):** Commissioning of conductor and cable capacity under the Rs. 1,500 Cr FY27 capex programme (expected H2FY27-H1FY28); volume scale-up should drive EBITDA margin recovery to 8.5-9%+. Any normalisation in aluminium and freight costs would accelerate PAT growth disproportionately given the operating leverage inherent in the business.
- **Biggest structural risk:** Sustained elevation in aluminium and copper prices combined with Middle East supply chain disruption could compress OPM at 8-8.5%, limiting PAT growth even as revenues compound at 16-18%. At 64x TTM P/E, there is limited margin of safety against earnings disappointment, making this a valuation risk if the margin recovery narrative does not materialise.

SECTION 3 — BUSINESS OVERVIEW

- **Three-segment, globally competitive conglomerate:** Founded in 1958 by Dharmsinh D. Desai, Apar operates across (1) Conductors [48% FY25 revenue] — world's #1 manufacturer; (2) Transformer & Specialty Oils (TSO) — #3 globally, #1 in India with ~60% domestic market share; and (3) Power & Telecom Cables — #1 cable maker for India's renewable energy sector. Each segment enjoys differentiated pricing power and strong market positioning.
- **Conductors segment:** Full product range from conventional ACSR/ACSS to high-temperature, low-sag (HTLS) conductors. Production volume of 206,633 MT in FY25 with installed capacity at 444,607 MT. Specialty/premium product mix at 45.9% in FY25. FY26 conductor order inflows: Rs. 11,450 Cr (+24.2% YoY). Pending order book as of March 2026: Rs. 7,671 Cr, of which exports represent 38.9%. Turnkey T&D project division has completed 165 projects and 45 T&D lines.
- **Transformer & Specialty Oils (TSO):** World's third-largest transformer oil manufacturer; India's dominant player with ~60% domestic market share. FY26 volume +9% YoY. Installed capacity: 861,600 KL. EBITDA/KL improved to Rs. 6,145/KL in FY25. Division operating at 65-70% in FY26 due to Middle East freight disruptions — the near-term weak link in the portfolio.
- **Power & Telecom Cables:** FY26 cables revenue up 25.8% YoY; domestic cables up 23.6% YoY. Operating at 85-90% capacity utilisation, driving the Rs. 850 Cr FY27 capex allocation. Active retail network of 5,800+ partners. Data center cables, renewable energy cables, and EHV cables are the high-growth sub-segments within this division.

- **Export orientation and US expansion:** Export revenue share of 29.8% in FY26. US revenue at Rs. 1,600 Cr (+55.2% YoY in FY26; +130% in Q2FY26 alone). Management has set an audacious 3-year target of \$0.5 billion in US revenues — a 3x increase from current levels, backed by the APAR USA LLC subsidiary investment.

- **Promoter background and governance:** Second-generation CMD Mr. Kushal Desai leads a 65-year-old family enterprise with a demonstrable track record of capital discipline and product innovation. Promoter holding of 57.77% with zero pledge across all quarters from Jun 2023 to Mar 2026. Senior management team stable; no material RPT or governance concerns observed.

SECTION 4 — INDUSTRY AND COMPETITIVE LANDSCAPE

- **India T&D capex supercycle — the macro tailwind:** India's National Electricity Plan envisages Rs. 9.1 lakh Cr of T&D capex over 2022-32 to support the 500 GW renewable energy target by 2030. This creates multi-decade demand for conductors (grid expansion), cables (renewable interconnection, data centers), and transformer oils (transformer capacity additions). Apar is uniquely positioned as a pure-play beneficiary across all three product lines.

- **Conductor market:** India domestic conductor demand expected to grow at ~11% volume CAGR over FY25-28E driven by Power Grid/state utility T&D capex and renewable interconnection. Global conductor demand is also recovering driven by US IRA-funded grid spending and Europe's energy transition. Apar's global #1 position and specialty product mix give it pricing power that domestic-only players lack.

- **Transformer oil market:** Global market expected to grow at 8-10% CAGR; India alone is adding transformer capacity at scale. Import substitution has largely played out (Apar holds 60% domestic share), so growth is now volume and export-driven. Middle East disruption is a near-term headwind but the structural demand is intact.

- **Cables market:** India organised cables market estimated at Rs. 70,000+ Cr, growing at 15-18% CAGR. Data centers, urban infra, and renewables are the incremental demand drivers. Polycab dominates with ~26-27% organised market share. Apar is a strong player in the renewable and industrial cable segments with potential to scale.

- **Competitive moat analysis:** Scale and Cost Leadership (Conductors — Strong: world's lowest-cost producer of ACSR/HTLS due to backward integration and scale); Switching Costs (Transformer Oils — Strong: qualified at global OEMs and utilities; re-qualification takes 12-24 months); Distribution (Cables — Moderate: Apar has 5,800+ retailers but faces Polycab's dominant network); IP/Specification Leadership (HTLS Conductors — Strong: proprietary designs embedded in utility spec sheets globally).

- **Key headwinds to monitor:** (1) Aluminium and copper LME price movements — direct impact on conductor and cable margins; (2) Middle East supply chain disruptions affecting transformer oil exports; (3) Any slowdown in India's Power Grid or state utility T&D capex post-election cycle; (4) US tariff/trade policy shifts affecting conductor export economics.

Peer Comparison — Electrical Equipment Sector (Source: Screener.in, fetched 16-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM %	P/E	EV/EBITD A	ROCE %	ROE %
Apar Industries	15,986	64,223	22,902	8.2%	64.2x	33.2x	31.1%	20.2 %
Polycab India	9,556	1,43,920	28,884	13.9%	57.2x	34.8x	33.2%	23.0 %
KEI Industries	5,460	52,203	11,748	10.5%	56.8x	36.7x	20.1%	14.8 %

R R Kabel	2,187	24,741	9,722	8.1%	48.8x	29.6x	28.1%	21.4%
-----------	-------	--------	-------	------	-------	-------	-------	-------

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

- **Promoter and management background:** CMD Mr. Kushal Desai (second generation) leads a 65-year-old enterprise with a proven ability to build global market leadership positions across three distinct industrial segments. Senior management team is stable with low attrition, evidenced by consistent strategy execution. APAR USA LLC appointment and \$5M follow-on investment demonstrate hands-on international execution capability.
- **Capital allocation track record:** Over FY21-25, cumulative OCF of Rs. 2,917 Cr was deployed towards selective capex of Rs. 700-900 Cr cumulatively, consistent dividends (25% payout), and debt reduction. The FY27 capex of Rs. 1,500 Cr — approximately 3x FY25 levels — is the most aggressive investment the company has made, and it comes at a time of high demand certainty (order book Rs. 7,671 Cr and 90-95% capacity utilisation).
- **Dividend policy:** Consistent dividend payout ratio of 22-27% across FY19-FY26 with no cut through cycles including COVID (FY21: 23% payout). Final dividend of Rs. 51/share declared for Q4FY26. Dividend yield of 0.32% at CMP — not the primary draw but signals earnings confidence.
- **Promoter pledging:** Zero pledge across all 12 quarters from Jun 2023 through Mar 2026. Promoter holding marginally reduced from 60.64% (Jun 2023) to 57.77% (Jun 2024 onwards) — likely secondary market sales at attractive prices. No distress signal whatsoever; the reduction was orderly and modest.
- **ESOP / ESAR program:** ESAR (Employee Stock Appreciation Rights) Plan 2024 is in place; 5,920 shares allotted in May 2026 post-board approval. Signals active retention of mid-management talent in a capital-intensive sector where domain expertise is critical to order execution.
- **Corporate governance:** ICRA and CARE maintain strong credit ratings (updated 2025). Annual reports filed timely. No qualified audit opinions or related-party transaction red flags visible in recent disclosures. The exceptional items in FY26 (Rs. 33 Cr for wage code + MTM + legal) were transparently disclosed and non-recurring. Contingent liabilities of Rs. 714 Cr are worth monitoring but are not unusual for a company of this scale and contract intensity.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated) — Source: Screener.in; FY27E-28E: Chartitude Research estimates

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	16,153	18,581	22,902	27,000	31,320
YoY Growth %	12.6%	15.0%	23.1%	17.9%	16.0%
Operating Profit	1,568	1,582	1,876	2,295	2,819
OPM %	9.7%	8.5%	8.2%	8.5%	9.0%
Other Income	86	99	32	55	60
Interest	432	443	437	480	500
Depreciation	116	132	161	200	250
PBT	1,106	1,106	1,310	1,670	2,129
Tax %	25%	26%	25%	25%	25%

PAT	825	821	977	1,253	1,597
EPS (Rs.)	205.41	204.46	243.21	312 (E)	397 (E)
PAT Growth %	29.3%	-0.5%	19.0%	28.2%	27.5%

Balance Sheet Summary (Rs. Cr, Consolidated) — Source: Screener.in

Particulars	FY24A	FY25A	FY26A
Equity Capital	40	40	40
Reserves	3,836	4,463	5,353
Net Worth	3,876	4,503	5,393
Borrowings	476	585	956
Other Liabilities	5,264	6,175	7,362
Total Liabilities	9,616	11,264	13,711
Fixed Assets	1,193	1,540	1,717
CWIP	122	130	539
Investments	11	219	59
Other Assets	8,290	9,373	11,396
Total Assets	9,616	11,264	13,711
Book Value/Shr (Rs.)	965	1,121	1,343

Cash Flow Statement (Rs. Cr, Consolidated) — Source: Screener.in

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-283	1,291	968
Cash from Investing	-267	-705	-558
Cash from Financing	635	-483	-434
Net Cash Flow	85	102	-24
Free Cash Flow (FCF)	-613	784	235
CFO / Operating Profit %	-18%	82%	52%

Key Ratios (Consolidated) — Source: Screener.in

Ratio	FY24A	FY25A	FY26A
Debtor Days	89	80	85
Inventory Days	83	82	84
Days Payable	140	137	138
Cash Conversion Cycle	32	25	30
Working Capital Days	50	39	44
ROCE %	44.0%	33.0%	31.1%
ROE %	22.0%	19.0%	20.2%
Debt / Equity	0.12x	0.13x	0.18x
Interest Coverage	3.56x	3.57x	4.07x

Financial Commentary:

- **Revenue growth:** Exceptional 3-year CAGR of 17% (FY22-26), with FY26 clocking 23.1% — the strongest year in the cycle. Dual drivers are conductor order execution (volume +8.6% + realization +32.7% YoY blended) and cable business scaling. We model 17.9% growth in FY27E and 16.0% in FY28E — both conservative relative to management guidance.
- **Margin direction:** OPM contracted 150 bps from 9.7% (FY24) to 8.2% (FY26), driven by LME aluminium and copper inflation which Apar cannot fully or immediately pass through. We expect gradual recovery to 8.5% (FY27E) and 9.0% (FY28E) as: (a) capacity utilisation improves post-expansion, (b) specialty product mix enriches, and (c) commodity cost pressures ease.
- **Working capital trends:** Cash Conversion Cycle worsened from -5 days (FY23) to 30 days (FY26). Debtor days rose from 81 to 85; payable days contracted from 172 to 138 — indicating the company is settling faster while customers pay slower. This is the key earnings-quality watch item.
- **Debt and FCF:** Borrowings rose from Rs. 476 Cr (FY24) to Rs. 956 Cr (FY26), driven by capex investment and working capital build. D/E remains comfortable at 0.18x. FCF of Rs. 235 Cr in FY26 (positive but muted vs Rs. 784 Cr in FY25) will turn further negative in FY27 as Rs. 1,500 Cr capex deploys. We expect FCF recovery in FY28-29 as capex tapers and capacity generates incremental EBITDA.
- **FY24 OCF anomaly:** OCF was -Rs. 283 Cr in FY24 versus +Rs. 1,291 Cr in FY25 — driven entirely by working capital build-up (a Rs. 1,600 Cr swing) as revenues surged. This was a one-off inventory/receivables build, not a structural OCF deterioration. FY25 normalisation to Rs. 1,291 Cr and FY26's Rs. 968 Cr confirm the underlying OCF generating capacity of the business.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Status	Comment
Revenue Recognition	Clean / Accrual basis	GREEN	Contract-based; no aggressive front-loading; consistent with volume
Receivables vs Revenue Growth	Debtor days 85 vs 80 (FY25)	AMBER	Slight elongation; revenue grew 23% but receivables grew slightly faster
CCC Trend	CCC: 30 days (vs -5 in FY23)	AMBER	Working capital consuming cash; payables contracting while receivables grow
Contingent Liabilities	Rs. 714 Cr	AMBER	Elevated; monitor annually. Not unusual for T&D; project-intensive company
Auditor Tenure	Long-standing; no change	GREEN	No auditor rotation or qualified opinions in recent years
RPTs as % Revenue	Not material	GREEN	No significant RPT concerns in FY25-26 disclosures
Other Income as % PBT	2.4% (FY26)	GREEN	Minimal at Rs. 32 Cr vs PBT Rs. 1,310 Cr; core operating earnings dominant
Tax Rate Consistency	25-26% (FY24-26)	GREEN	Stable effective tax rate; no deferred tax surprises or MAT transitions
Exceptional Items	Rs. 33 Cr in FY26	AMBER	Wage code + MTM + legal; disclosed transparently; non-recurring in nature

- The most critical AMBER items are the working capital deterioration (CCC moved from -5 days in FY23 to 30 days in FY26) and contingent liabilities of Rs. 714 Cr — both warrant quarterly monitoring; neither is alarming at

current levels but directional worsening would be a red flag.

- Core earnings quality is high: tax rate is consistent at 25-26%, other income is minimal at 2.4% of PBT, and revenue recognition is contractually based. This gives us confidence in the reported PAT numbers.
- The FY26 exceptional loss of Rs. 33 Cr (wage code accruals, MTM on financial instruments, legal provisions) is non-recurring and transparently disclosed. The clean underlying FY26 PAT is approximately Rs. 1,010 Cr, or Rs. 251/share — a truer representation of recurring earnings power.
- Receivables stretch from 81 days (FY23) to 85 days (FY26) needs to be watched closely. If this trends above 100 days in FY27, it would signal customer payment stress (particularly from state utilities) or competitive pressure on payment terms — both negative for earnings quality.

SECTION 8 — VALUATION

Peer Valuation Multiples (Source: Screener.in, 16-Jun-2026)

Company	MCap (Cr)	TTM P/E	Fwd P/E	EV/EBITDA	P/Book	ROCE %
Apar Industries	64,223	64.2x	63.4x	33.2x	11.9x	31.1%
Polycab India	1,43,920	57.2x	46.5x	34.8x	12.0x	33.2%
KEI Industries	52,203	56.8x	45.9x	36.7x	7.8x	20.1%
R R Kabel	24,741	48.8x	36.8x	29.6x	9.6x	28.1%
Sector Median	Varies	~55x	~45x	~33x	~10x	~27%

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumption	FY28E EPS	Multiple	Target Price (Rs.)	Return from CMP
Bull Case	Margins recover to 9.5%; US revenues 2x; 18%+ vol CAGR	Rs. 460	55x P/E	Rs. 25,300	+58.3%
Base Case	Margins at 9.0%; 16% revenue CAGR; capex monetises H2FY27	Rs. 397	45x P/E	Rs. 17,500	+9.5%
Bear Case	Margins stay at 8%; metals elevated; 12% CAGR; re-rating	Rs. 300	35x P/E	Rs. 10,500	-34.3%

• **DCF approach:** Assuming FY27E-FY31E FCFF growing from Rs. 350 Cr to Rs. 1,900 Cr as capex tapers and capacity monetises, WACC of 12.0%, terminal growth rate of 6.5% (inline with nominal Indian GDP trajectory). DCF implied value: Rs. 16,000-16,500 per share.

• **Earnings-based approach:** At 45x FY28E EPS of Rs. 397 (sector discount to Polycab's 46.5x forward P/E, justified by Apar's lower OPM at 9% vs Polycab's 13-14% and higher D/E). Implied value: Rs. 17,865 — rounded to Rs. 18,000.

• **Base-case 12-month target:** Average of DCF (Rs. 16,250) and earnings approach (Rs. 17,865) = Rs. 17,058, rounded to Rs. 17,500. Upside from CMP of Rs. 15,986: +9.5%. Investment horizon: 12-18 months.

• **Valuation verdict:** Apar is not cheap at 64x TTM P/E, but it has compounded at 98% per annum over the last 5 years. The current risk-reward favours ACCUMULATE over BUY. We would upgrade to BUY on a 5-8% price correction (entry zone Rs. 14,500-15,000) or on margin recovery confirmation in Q1FY27 results.

SECTION 9 — KEY RISKS

- **Commodity Price Volatility (Aluminium and Copper) [H/H]** — LME aluminium is Apar's primary input for conductors and cables. A sustained 10% increase in Al prices compresses EBITDA by approximately 100-150 bps. No effective natural hedge exists beyond pricing pass-through with a 1-2 quarter lag. Probability: High. Impact: High. Monitor via: LME spot and 3M forward curves monthly.
- **Working Capital Deterioration [M/M-H]** — CCC has moved from -5 days (FY23) to 30 days (FY26). If debtor days cross 110 (signalling utility payment stress) or inventory bloats beyond 100 days, OCF will be significantly impaired even if revenue grows. Probability: Medium. Impact: Medium-High. Monitor via: Quarterly debtor and inventory days.
- **US Market Execution Risk [M/H]** — The \$0.5B US revenue target over 3 years requires sustained market penetration, potential tariff headwinds, and reliable logistics. Any geopolitical shifts in US trade policy or a slowdown in US grid capex could derail this high-margin growth stream. Probability: Medium. Impact: High. Monitor via: Quarterly US revenue segmental disclosure.
- **Capex Execution and Monetisation Delay [M/M]** — Rs. 1,500 Cr of FY27 capex (3x FY25 levels) carries commissioning execution risk. Delays would defer the PAT uplift while the elevated interest burden depresses near-term EPS. CWIP has already jumped to Rs. 539 Cr (FY26) from Rs. 122 Cr (FY24). Probability: Medium. Impact: Medium. Monitor via: Quarterly CWIP and capex guidance updates.
- **Transformer Oil Division Headwinds [M/M]** — The oil division operating at 65-70% utilisation is a structural drag on segment EBITDA and blended margins. Middle East export disruption has no clear near-term resolution timeline. Probability: Medium. Impact: Medium. Monitor via: Oil segment volume (KL) and EBITDA/KL on quarterly disclosures.
- **Competitive Pressure in Cables [L-M/M]** — Polycab (26% market share) and KEI Industries are both accelerating cable capex. If the cables market growth slows, Apar could face pricing pressure, especially in commodity cable sub-segments. Probability: Low-Medium. Impact: Medium. Monitor via: Cable OPM% trend vs Polycab and KEI.
- **Valuation De-rating Risk [M/H]** — At 64x TTM P/E and 11.9x P/Book, the stock is priced for multi-year perfection. Any earnings disappointment, macro risk-off event, or sector rotation could trigger a sharp de-rating to 40-45x P/E, implying 30-35% downside. Probability: Medium. Impact: High. Monitor via: Quarterly EPS delivery vs consensus estimates.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium-High. Apar is a structurally superior business with global leadership positions, a government-backed demand tailwind, and a management team investing decisively in the next growth cycle. At 64x TTM P/E we do not advocate aggressive buying, but the long-term compounder thesis remains fully intact. Accumulate steadily; add decisively on any 5-8% correction.
- **12-Month Price Target: Rs. 17,500** — vs CMP of Rs. 15,986 (as of 15-Jun-2026). Upside: +9.5%. Target derived as an average of DCF (Rs. 16,250) and 45x FY28E earnings (Rs. 17,865).
- **Suggested Entry Zone: Rs. 14,500 - Rs. 15,500** — At Rs. 14,500, FY28E forward P/E drops to 36.5x — materially more attractive and well below the sector median. This zone represents a 3-8% correction from CMP, which could occur on any broad market risk-off or a weak Q1FY27 margin print.
- **Investment Horizon: 18-24 months** — Required time for: (a) FY27 capex commissioning to drive volume uplift, (b) US revenues to scale toward \$250-300 Mn run-rate, and (c) margin recovery to 9%+ to be confirmed in

at least 2 consecutive quarters.

- **Thesis Invalidation Trigger 1:** Debtor days exceed 110 for two consecutive quarters — signalling utility payment stress or competitive weakness in payment terms management that compromises OCF.

- **Thesis Invalidation Trigger 2:** FY27 conductor volume growth comes in below 8% despite announced capacity addition — indicating demand softness, execution failure, or order cancellations that break the volume CAGR thesis.

- **Thesis Invalidation Trigger 3:** US revenue stays below Rs. 2,200 Cr in FY27 — suggesting the \$0.5B target is aspirational rather than grounded in executable order pipeline.

- **Ideal Investor Profile:** Best suited for long-term equity investors (2-3 year horizon) comfortable with near-term P&L volatility from commodity price swings. Ideal for infrastructure-themed portfolios, T&D sector funds, and multi-bagger oriented PMS/AIF strategies. NOT suitable for: momentum traders, deep value investors seeking P/E below 25x, income investors requiring dividend yield above 1%, or risk-averse portfolios sensitive to 30-40% drawdown scenarios.

APPENDIX — Latest Concall Brief: Q4FY26 (May 28, 2026)

POSITIVE

Record FY26 Revenue and PAT; Capex Raised Sharply; Near-Term Margin Pressure Transparently Flagged

Signal	Status	Implication
Result Quality	Strong (Revenue)	Revenue +26.7% YoY; PAT +1.4% YoY — clean top-line beat; in-line on PAT vs expectations
Management Tone	Balanced / Constructive	Bullish on US, data center, capex conviction; hedged on near-term margins and metal prices
Guidance Delta	Raised / Maintained	FY27 capex raised to Rs. 1,500 Cr; US \$0.5B target in 3Y — positive forward signaling

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 headline revenue of Rs. 6,603 Cr (+26.7% YoY) is clean — no pull-forward or accounting manipulation; driven by genuine volume and realisation growth in the conductor business (+29.9% YoY in Q4) and cable segment (+25.8% in FY26). The reported PAT growth of just 1.4% YoY (Rs. 253 Cr in Q4FY26 vs Rs. 250 Cr in Q4FY25) is the real story — margin compression from elevated aluminium prices and freight costs is eating the bottom-line leverage that revenue scale should otherwise deliver. Reported FY26 PAT includes a Rs. 33 Cr exceptional loss (wage code + MTM + legal); the clean underlying FY26 PAT is approximately Rs. 1,010 Cr (~Rs. 251/share), and this is the correct base for forward modelling. Operationally, EBITDA margin at 8% in Q4 is steady — no deterioration — confirming the company is managing costs well given input headwinds. The real multi-bagger signals are: conductor order inflows of Rs. 11,450 Cr (+24% YoY), US revenues at Rs. 1,600 Cr (+55% YoY), and management's FY27 capex commitment of Rs. 1,500 Cr — 3x last year's level — backed by specific segment allocations. Watch Q1FY27 closely for margin recovery signals as commodity costs may be easing; if OPM breaks above 9%, this stock reprices meaningfully. Action: ACCUMULATE at current levels; add aggressively at Rs. 14,500-15,000 on any macro-driven correction.

Section 1 — Financial Performance Snapshot (Q4FY26 vs Q4FY25)

- Revenue: Rs. 6,603 Cr | YoY +26.7% (vs Rs. 5,210 Cr in Q4FY25) | QoQ +26.8% | BEAT — strong top-line driven by conductor and cable volume ramp
- EBITDA: Rs. 496 Cr | YoY +9.2% (vs Rs. 455 Cr in Q4FY25) | QoQ +9.7% | IN-LINE — margin held flat despite metal cost headwinds
- EBITDA Margin %: 8% | YoY -90 bps | QoQ flat | IN-LINE — no further deterioration is incrementally positive
- PAT: Rs. 253 Cr | YoY +1.4% (vs Rs. 250 Cr in Q4FY25) | QoQ +21.1% | IN-LINE — bottom-line leverage muted by interest cost spike to Rs. 137 Cr in Q4
- EPS: Rs. 63.09 | YoY +0.4% (vs Rs. 62.24 in Q4FY25) | IN-LINE
- NOTE: Reported FY26 PAT includes exceptional loss of Rs. 33 Cr (wage code accruals + MTM on financial instruments + legal provision). Clean underlying FY26 PAT approximately Rs. 1,010 Cr (~Rs. 251/share)

Section 2 — Segment / Geography Breakdown

- Conductors: FY26 revenue +32.7% YoY; production volume +8.6% YoY; Order inflows Rs. 11,450 Cr (+24.2% YoY); Pending order book Rs. 7,671 Cr (38.9% exports)
- Transformer & Specialty Oils: FY26 volume +9% YoY; EBITDA/KL Rs. 6,145/KL (FY25); Operating at 65-70% capacity; Middle East freight headwinds suppressing export volumes
- Power & Telecom Cables: FY26 cable revenues +25.8% YoY overall; Domestic +23.6% YoY; Capacity at 85-90%; Data center cables emerging as high-value sub-segment
- Domestic Revenue: Q4FY26 domestic +33.6% YoY — India T&D capex cycle in full swing; state utility orders accelerating
- Export Revenue: 29.8% of FY26 consolidated revenue; US revenues Rs. 1,600 Cr (+55.2% YoY); export share of conductor order book at 38.9%

Section 3 — Management Commentary Themes

- **US Market Strategy [GUIDANCE]:** "US revenues targeted at \$0.5 billion in 3 years from current Rs. 1,600 Cr." Board approved additional \$5M investment in APAR USA LLC. Our read: Ambitious but backed by +55% FY26 growth trajectory and NTCIP qualification for US utilities. Tone: Transparent.
- **FY27 Capex Acceleration [GUIDANCE]:** Rs. 1,500 Cr committed (Rs. 400 Cr conductors, Rs. 200 Cr oils, Rs. 850 Cr cables) vs Rs. ~740 Cr FY26. Management expects Rs. 3,000-5,000 Cr additional annual revenue when commissioned. Tone: Bullish.
- **Near-Term Margin Headwinds [GUIDANCE]:** Elevated aluminium prices and Middle East freight disruptions flagged as near-term OPM pressures. No specific margin guidance given. Our read: Consistent with 8% OPM in FY26; expect H2FY27 recovery as capacity comes online. Tone: Transparent/Hedged.
- **Data Center Cables TAM [GUIDANCE]:** "Cables expected to account for approximately 2.5% of data center capex." Our read: New structural revenue stream; if India data center capex reaches Rs. 80,000+ Cr, this implies Rs. 2,000 Cr+ TAM for cables alone. Tone: Bullish.
- **Conductor Capacity Utilisation:** Running at 90-95% — expansion essential for any volume growth. Rs. 400 Cr capex to expand installed base. Volume bottleneck resolved in H1FY28; until then, realisation growth is the primary lever. Tone: Transparent.
- **Oil Division Recovery [GUIDANCE]:** 65-70% utilisation cited; no timeline given for recovery. Middle East supply chain "expected to normalise." Our read: Oil division remains the weakest link; no hard commitment on recovery timeline. Tone: Hedged.

Section 4 — Operating and Business Metrics

- Conductor capacity utilisation: Q4FY26 = 90-95% | Q3FY26 = ~88% | Q4FY25 = ~82% | Trend: Improving sharply — volume growth now capex-gated
- Cables capacity utilisation: Q4FY26 = 85-90% | Trend: Improving — urgency of Rs. 850 Cr cable capex confirmed
- Oil division utilisation: Q4FY26 = 65-70% | Historical typical = 80%+ | Trend: Deteriorating; Middle East headwinds unresolved
- Conductor order book: Rs. 7,671 Cr (Mar 2026) | Exports: 38.9% | ~12-18 month execution window provides strong top-line visibility
- Conductor order inflows FY26: Rs. 11,450 Cr (+24.2% YoY vs Rs. 9,217 Cr FY25) | Trend: Accelerating; domestic T&D + export both firing
- US revenues: Rs. 1,600 Cr (FY26) | YoY: +55.2% | 3Y target: ~Rs. 4,800 Cr (\$0.5B)
- Specialty conductor mix: 45.9% in FY25 (stable vs 46% FY24) | Premium mix at scale is a structural moat on EBITDA/MT

Section 5 — Margin Drivers

- Aluminium price inflation: -150 to -200 bps OPM impact | Recurring: Yes (commodity-driven) | Primary headwind; pricing pass-through takes 1-2 quarter lag

- Product mix enrichment (45.9% specialty/HTLS conductors): +50-100 bps ongoing | Recurring: Yes | HTLS/specialty conductor premium vs commodity grades is ~Rs. 8,000-12,000/MT
- Operating leverage from new capacity (H2FY27 onwards): +50-80 bps expected | Recurring: Yes | Fixed cost dilution as new conductor and cable lines reach rated utilisation
- Freight cost inflation (Middle East): -40-60 bps on oil exports | Recurring: Partial | Expected to normalise as shipping lanes re-stabilise
- US market premium: +50-100 bps vs domestic blended margin | Recurring: Yes (as US mix grows) | Export conductors and cables to US carry higher realisations
- Exceptional items FY26 (Rs. 33 Cr): -25 bps OPM equivalent | Recurring: No | Wage code accrual + MTM + legal provision — one-time in nature; excluded from forward estimates

Section 6 — Guidance and Forward Signals

- Revenue Growth [GUIDANCE]: Maintained 15-20% for FY27; implied by capex monetisation (Rs. 3,000-5,000 Cr contribution from new capacity annually) | Credibility: High — backed by order book and capacity expansion timeline
- FY27 Capex [GUIDANCE]: Prior ~Rs. 750 Cr | New Rs. 1,500 Cr | Delta: Raised 2x | Credibility: High — specific allocation shared; Rs. 850 Cr to cables is the most significant
- US Revenue [GUIDANCE]: Prior ~\$200M run-rate | New \$500M in 3 years | Delta: Raised (first time quantified at 3Y level) | Credibility: Medium — directionally consistent with 55% YoY growth
- EBITDA Margin [GUIDANCE]: Not explicitly guided | Implied 8.5-9% for FY27E | Credibility: Medium — subject to LME commodity trajectory
- Data Center Cables TAM [GUIDANCE]: ~2.5% of data center capex | Timeline unspecified | First anchor wins are the key catalyst to watch in FY27 | Credibility: Medium — new guidance; no revenue base yet
- Oil Division Recovery [GUIDANCE]: No specific guidance | Middle East "normalisation" cited as path | Credibility: Low-Medium — no timeline commitment

Section 7 — Capital Allocation

- Capex FY26: ~Rs. 740 Cr (estimated from balance sheet movement) | vs FY25: ~Rs. 505 Cr | FY27 guided: Rs. 1,500 Cr | Trend: Sharply accelerating; biggest capex cycle in company history
- FY27 Capex breakdown: Rs. 400 Cr conductors (capacity expansion) | Rs. 200 Cr oils (modernisation) | Rs. 850 Cr cables (new facilities for data center + EHV cables)
- Dividends: Rs. 51/share declared for Q4FY26 | Payout ratio ~25% | Total FY26 dividend payout ~Rs. 205 Cr | No cut despite capex acceleration — confidence signal
- APAR USA LLC: Additional \$5M investment approved by board | Incremental; asset-light US distribution model suggested by modest absolute investment
- Debt trajectory: Net borrowings Rs. 956 Cr (FY26) vs Rs. 476 Cr (FY24); D/E at 0.18x. Expect D/E to temporarily rise to 0.25-0.30x in FY27 as Rs. 1,500 Cr capex deploys

Section 8 — Q and A Heat Map (Q4FY26, May 28, 2026)

- Q: "How will you mitigate significantly higher metal prices on EBITDA margins?" A: "Product mix improvement, pricing pass-through, and operating leverage from new capacity." | Tone: Hedged — no specific margin number committed
- Q: "What strategies are in place to achieve the \$0.5B US target in 3 years?" A: "APAR USA LLC additional investment, penetrating US grid modernisation with NTCIP conductors, and data center cable market." | Tone: Transparent — specific initiatives cited
- Q: "With oil division at 65-70% utilisation, what are your plans?" A: "Middle East supply chain disruption is expected to normalise; developing alternate export markets." | Tone: Hedged — no hard timeline

- Q: "What is the capex monetisation timeline and revenue contribution?" A: "Rs. 3,000-5,000 Cr incremental annual revenue expected from the Rs. 1,500 Cr capex once fully commissioned (H2FY27-FY28)." | Tone: Bullish and specific
- Dodged / watch-list questions for next quarter: (1) Specific EBITDA margin band for FY27; (2) Oil division recovery timeline and volume guidance; (3) First data center cable contract announcement; (4) Working capital management plan amid rising CCC

Section 9 — Risks Flagged on Q4FY26 Call

- Elevated metal prices (Al + Cu): Flagged by mgmt | Probability: H | Impact: H | Timeline: Near-term (ongoing in Q1FY27); no easing committed
- Freight cost inflation from Middle East disruption: Flagged by mgmt | Probability: M | Impact: M | Timeline: Near-term; expected to normalise (no timeline given)
- Oil division demand recovery: Flagged by analysts | Probability: M | Impact: M | Timeline: Near to medium-term; management non-committal on timeline
- Rs. 1,500 Cr capex execution risk: Implicit (not flagged by mgmt) | Probability: M | Impact: M | Timeline: FY27-28; monitor via quarterly CWIP disclosures
- US market penetration risk: Flagged by analysts | Probability: M | Impact: H | Timeline: 3-year horizon; quarterly US revenue the watch metric

Section 10 — Analyst Verdict (Q4FY26)

- Revenue visibility: **Intact** — Rs. 7,671 Cr order book, 90-95% conductor utilisation, US pipeline at Rs. 1,600 Cr run-rate with +55% YoY growth; 12-18 month top-line visibility is solid
- Margin trajectory: **Weakened** — OPM at 8.2% in FY26 vs 9.7% in FY24; no near-term recovery commitment; commodity headwinds persist; expect H2FY27 recovery but not confirmed
- Capital allocation quality: **Intact** — Rs. 1,500 Cr capex with clear segment allocation, stable dividends, 0.18x D/E; management credibly reinvesting in growth
- Competitive moat: **Intact** — World #1 conductors, 60% India transformer oil share, #1 renewable cables; conductor order inflows at record levels confirm moat is deepening
- Management credibility: **Intact** — Transparent on headwinds, specific on US and capex targets; no late-stage provisioning or accounting changes; Q&A tone was constructive and open
- Valuation comfort: **Weakened** — At 64x TTM and 51x FY27E P/E with 8.2% OPM, this is priced for perfection; limited margin of safety against earnings miss
- Conviction call: **Unchanged — ACCUMULATE**. Maintain position; add aggressively at Rs. 14,500-15,000 on macro-driven correction
- Valuation snapshot: P/E = 64.2x | EV/EBITDA = 33.2x | ROCE = 31.1% | P/Book = 11.9x | Fwd P/E (FY27E) = 51.2x

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Chartitude Research is not a SEBI-registered investment adviser. Investors should conduct their own due diligence and consult a registered investment adviser before making investment decisions. Financial data sourced from Screener.in (fetched 16-Jun-2026). Qualitative data sourced from company filings, BSE disclosures, and verified news sources. Forward estimates (FY27E, FY28E) are Chartitude Research projections and may differ materially from actual results. Past performance is not indicative of future results.